

Title

A GUIDE TO INDONESIA'S NEW GOVERNMENT: THE GOTONG ROYONG PRESIDENCY

Other-text

OCTOBER 2014

Image



Other-text

Photo by: Muhammad Fadli

A BRIEF OVERVIEW OF INDONESIA

Diagram

Obj-text

Population:

250 million

(4th largest population in the world)

Obj-text

McKinsey says:

by **2030**

Indonesia could have the world's 7th largest economy

Obj-text

The most populous island is

Java

where 141 million people, or around 60% of the population reside

and the nation's capital **Jakarta** is located

Obj-text

GDP:

\$868.3 billion

Source: [World Bank](#)

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World's

3rd Largest democracy

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Executive & Constitutional
Presidential system republic

Obj-text

Projected growth:

5.3% (2014)

Obj-text

5.8% (2015)

Source: [Bloomberg](#)

Obj-text

World's largest

Muslim
majority country

Caption

Alongside the presidency, considerable powers rest with the national parliament (DPR) and local governments after a process of decentralization starting from 2001

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The:

biggest economy

Other-text

in Southeast Asia and ASEAN, accounting for 1/3rd of ASEAN GDP

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Archipelago nation of

17,000+ Islands stretching **5,150** km

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Note: If you'd like to access the links, please download the presentation from our site.

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AN INTRODUCTION TO INDONESIA'S NEW POLITICAL LANDSCAPE

Title

THE GOTONG ROYONG PRESIDENCY: WHAT THIS MEANS FOR BUSINESS IN INDONESIA

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Although it is early days for Indonesia's new government, with ministers and new ministries recently installed and policy actions still to take shape, there are a number of signs that give us an indication of what to expect. President Widodo mentioned *Gotong Royong* (burden sharing or mutual cooperation) four times during his inauguration speech; this is clearly going to be the overarching theme of his first term. It is a concept that harks back to '50s and '60s Sukarno-era optimism and therefore is no surprise to be the *leitmotif* of this presidency (as Widodo belongs to the modern day incarnation of Sukarno's original party). It will be important for foreign firms to use this concept as the 'North Star' for how they structure their interaction with the new Indonesian government going forward. Foreign firms will be expected to contribute to the costs of Indonesia's modernization as well as share the benefits their investment may bring. Mutual cooperation and partnership combined with what President Widodo has been saying about "economic independence" indicates that foreign ownership and control restrictions are unlikely to go away; indeed they may intensify as the Indonesian government pushes for more JVs and fewer wholly foreign-owned subsidiaries. However, this is not exactly 'economic nationalism' more than it is a rejection of 'economic colonization by global multinationals' (as Sukarnoists would put it).

While nominally the current Negative Investment List is good until 2019, one cannot discount a 2015 adverse

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revision to the Negative Investment List, including in service industries such as insurance, banking and management consultancy, as there are some Indonesians, rejecting economic liberalism, who believe that the idea of 'knowledge transfer' is a myth and that the only way to boost Indonesia's indigenous value-added service sector is to force foreign investment into JVs, banning foreign wholly-owned businesses, in value-added service sectors. The deadline may be aligned to the opening of the ASEAN Economic Community on December 31st 2015 (as the Negative Investment List might lay above ASEAN's 'corporate passporting' rules). We have already, for instance, seen this happen in the e-commerce sector where 100% foreign participation is now banned (no more eBay).

President Widodo's thrust towards 'economic independence' may mean more, not fewer, foreign investment restrictions. Heretofore there have often (but not always) been grandfathering rights where there have been changes applied (or at least a decent number of years for 'divestment' down to the permitted level). For those foreign firms working and entering Indonesia, understanding this new political paradigm and putting *Gotong Royong* at the heart of action and communications with all stakeholders will be crucial for success. Firms not willing to play by these new rules may face a rougher ride in the months and years ahead.

Image



Image



Caption

Stephen Lock

Other-text

CEO Edelman Indonesia & Head of
Public Affairs, Southeast Asia

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PRESIDENT WIDODO: THE JOKOWI JOURNEY

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President Widodo's victory ushered in a new chapter for Indonesia, one of optimism about the future, what the country could achieve and what a new generation of political leaders, untainted by links to Suharto's New Order regime, meant for the future going forward. With a truly inspiring back story, Jokowi (as he is popularly known in Indonesia) rose from an upbringing in a riverside slum in Solo to become a successful furniture salesman and later on the 'can do' mayor of his home town. During his tenure, he ushered in progressive reforms, including bringing order to chaotic street markets dominated by criminal gangs and establishing the city as a beacon of Javanese culture and art, which had once been more renowned for being a terrorist hotspot. His campaign against corruption earned him the moniker of being the "most honest politician in Indonesia". He also introduced programs to expand access to health and education for the city's residents, leading to his popularity and reelection to a second term.

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His success and popularity in Solo did not go unnoticed, and in 2012 he competed and beat the incumbent governor of Jakarta in a shocking landslide, winning on his humble persona and a platform of cutting bureaucracy and corruption and bringing in practical social reforms. His hands-on progressive style and humble image has carried him through from Solo to Jakarta all the way to the state palace in a nation where politicians are often distant from the people in their daily dealings and frequently corrupt. During his time in Jakarta, his hands-on, street style of politics and governing has won him praise and great affection. Jokowi is famous for 'spot checks' and frequent daily ground visits to local communities and government institutions. During his time governing Jakarta, his introduction of health cards (where the poor can receive free access to basic healthcare) has been his most lasting legacy. He has also made inroads in shaking up bureaucracy, cleaning up public spaces and improving Jakarta's woeful public transportation system, with the introduction of a greater number of upgraded Trans-Jakarta buses, and the start of an ambitious MRT system.

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While only in power for a short time, his national popularity has remained strong and resilient despite a dent in his poll ratings during a highly competitive and controversial election race against Prabowo Subianto. He managed to endure attacks on his character and smear campaigns, as well as prove himself capable in presidential debates, eventually winning the election with 53 percent of the vote, despite a highly organized and well-funded Prabowo campaign.

Image



Caption

Image: politik.kompasiana.com

Title

THE NEW DPR: PARTIES, COALITIONS AND POWER

Page-text

- Of the total 560 seats in the House of Representatives, PDI-P secured 109 seats. PDI-P is backed by Hanura, NasDem, PKB, and most recently PPP (who jumped ship from the Red-and-White coalition), while for the time being the opposition consists of Golkar, Gerindra, PKS, PAN and Demokrat. Despite the recent addition of PPP, the president's coalition still constitutes a slight minority in the House.

Image



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Figure

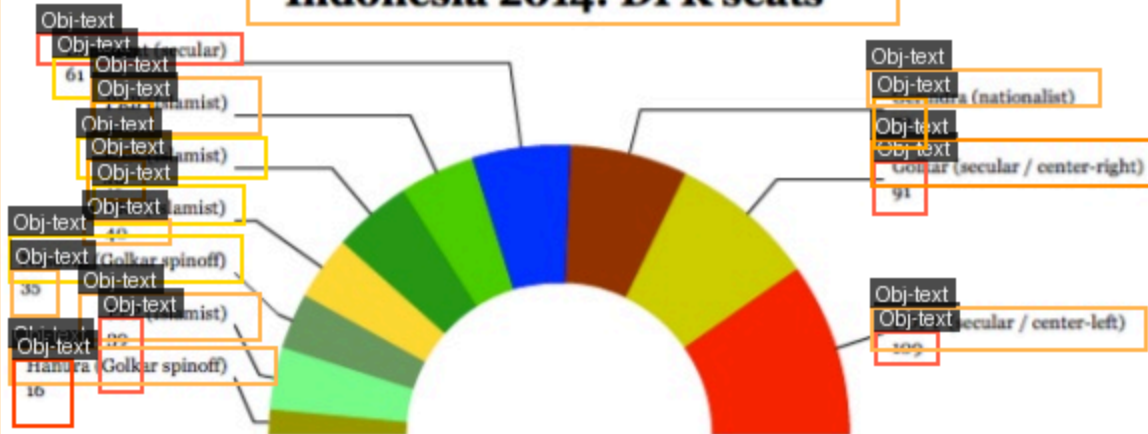
Image: Jakarta Globe

Caption

Image



Indonesia 2014: DPR seats



Other-text

Image: Suffragio

Title

WHAT THIS MEANS: POLITICAL REALITIES

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Although Jokowi won the Presidential election, Indonesia's 7th President now faces an extremely challenging political environment. He may have defeated Prabowo at the polls, but the DPR, Indonesia's parliament, is controlled by Prabowo's 'merah-putih' or red-and-white coalition of allied parties. In the final days of the old DPR, Prabowo's coalition passed a number of new laws designed to hamper the President and his PDI-P party. This included stripping the right of the majority party (Jokowi's PDI-P) to fill the powerful House Speaker position, instead changing the rules to a House majority vote system, which allowed *merah-putih* to elect their own chosen speaker, Setya Novanto. The necessity of making this change after the parliamentary and presidential election, with no mandate from the people and just days before the new DPR took their seats, is but one example of the politicking which is likely to plague Jokowi and hamper his reform agenda.

Along with this reform, the abolishment of direct local elections was the last outgoing act of the old DPR, removing the chance for Indonesians to vote and select their leaders and instead placing control in the hands of provincial governments in selecting local leaders. Regional democracy has thrived in recent years, producing many new reform-minded politicians, Jokowi included. This reform, again without any popular support, is designed to cut off those who have not worked their way up the political ladder and reestablish the old ties of patronage and selection by political elites. It also places much more power with local provincial governments (a majority made up of *merah-putih* allied coalitions), thereby isolating Jokowi's political allies and making it harder for him to implement effective reforms. In decentralized Indonesia, local governments are vital to putting policy into practice and making the edicts from the central government a local reality. If local governments are not on the same page, they can make pushing through reforms extremely challenging.

Indonesia may have voted for a reform-minded, corruption combating President with a track record of effective and clean municipal management, but Jokowi will now have to deal with cold political reality. For now, he is politically isolated. The next five years could very well be extremely bleak for those hoping for radical progressive reforms. Without a majority in the DPR and an opposing *merah-putih* coalition bent on blocking any policy or law he tries to push through, those hoping for a new dawn could well be disappointed. Worse, we may even see a slow return to the past...

Image



Caption

Image: Antara

Title

IMPEACHING THE PRESIDENT: SCARE TACTICS OR VIABLE THREAT?

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According to many political observers, President Widodo may be at risk of impeachment if the PDI-P parliamentary coalition that backs him is in the minority to Prabowo's *Merah-Putih* (Red and White) coalition.

The Jokowi-JK coalition at this time consists of PDI-P, PKB, PND, Hanura and most recently PPP, the likes of which garner a total of 246 seats in the parliament. Meanwhile, the *Merah-Putih* coalition commands a total of 253 seats. This could in the long term spell trouble for the Joko-Kalla administration and opens the door for future impeachment, as stipulated in Article 7B of the constitution. According to the article in question, a call to impeach would become a reality if agreed on by two-thirds of DPR members.

While a call for impeachment may fail in the short term, such a move could shake the government's political foundations and lead to instability. "Psychologically [speaking], it is highly possible for the red-and-white coalition to take that action," political psychologist Hamdi Muluk was quoted as saying.

Regarding investigations into Widodo's previous roles as Mayor of Solo and Governor of Jakarta, there have been whispers that top political players will move to look into alleged corruption involving the Rp 1.5 trillion (US\$123 million) in funds used to purchase Chinese-made buses earlier this year. Members of the *Merah-Putih* coalition have also stated that they will look into alleged inconsistencies in Solo's education budget. Jokowi's political opponents may try and find any reason they can to erode his support and credibility, with the end goal of possibly forcing him from office.

Another factor is the fuel subsidy. If the DPR moves to block any law that Jokowi passes, passing fuel subsidy reform could be extremely challenging. Cutting the fuel subsidy is not only vital for Indonesia to balance the books, it is also a statutory requirement. Currently the law caps the state budget deficit at 3% of GDP. If Jokowi fails to pass fuel subsidy reform, he may run the risk of his political opponents using his inability to manage the budget and keep to the statutory limit as grounds for impeachment. Although still unlikely, this is not a distant possibility.

Other recent reports indicate that Prabowo Subianto's billionaire brother, Hashim Djojohadikusomo, has a vendetta against Widodo, who he claims betrayed him after he acted as Jokowi's primary financial backer during his campaign for governor of Jakarta two years ago. Speaking on the subject of the *Merah-Putih* coalition's political power over both MPR and DPR, Hashim was quoted by the Wall Street Journal as saying, "We'll be able to control the legislative agenda." Meanwhile, during an interview with Reuters, Hashim spoke of what Prabowo's political coalition political aim will be over the coming months, stating, "We will use our power to investigate and to obstruct."

Image



Caption

Image: Kompas



THE OUTLOOK FOR BUSINESS: POLICY OBJECTIVES AND POLICY CHALLENGES FOR THE NEW GOVERNMENT

IMPROVING THE BUSINESS ENVIRONMENT

- Improving the general business environment by reducing bureaucracy, increasing efficiency and making administrative processes more transparent is one of the main aims of the new government. A commitment to introduce online systems and electronic methods for processing permits, payments and general administrative documents is a key pledge.

- Slow moving bureaucracy, combined with an opaque legal environment, mean that Indonesia is currently one of the lowest ranked countries on The World Bank's Doing Business Report 2014, ranking 120 out of 189 countries; neighboring Malaysia ranks 6th and Thailand comes in at 18, as a comparative. Indonesia also sits in the bottom half of Transparency International's Corruption Perception Index 2013, ranking 114th globally out of 175 countries.



Image



Obj-text

- Limit foreign banks' share in Indonesia and instead promote the principle of reciprocity
- Special banks for farmers and SMEs

Obj-text

Obj-text

Economic Reforms

Image



Obj-text

- Construct sea toll roads

Obj-text

- Construct dams

Obj-text

- Promote industrial development for plantation owners and midsize businesses

Obj-text

Infrastructure

Title

JOKOWI'S CAMPAIGN PROMISES

Image



Obj-text

- Evaluate FTAs

- Manage food imports

- Oversee revision of oil and gas laws

- Restrict outsourcing in state-owned

- enterprises

- Streamline business licenses

- Limit mining operations to benefit local communities

Obj-text

Policy

Image



Obj-text

- Distribution of agricultural lands (9 million hectares) for 4.5 million

- families

- Development and improvement of irrigation on 3 million hectares of

- the fields

- Construction of 25 dams and 1 million hectares of new agricultural

- land outside of Java

- Provide clean water to farmers'

- fields with subsidies

- Regeneration of 1,000 villages

Obj-text

Agriculture

Image



Obj-text

- Utilize renewable energy-based

- technologies

- Improve oil and gas infrastructure

- Increase national energy security

- Transfer of fuel to gas

- Cut the energy subsidy

Obj-text

Energy Sustainability

Image



Obj-text

- Create 10 million new jobs

- Promote Creative and Digital industries

-

Obj-text

Jobs

Image



Obj-text

- Improve professionalism in

- the public sector

- Raise salaries and improve welfare of civil servants,

- military, and police

- Provide universal access to education with an

- Indonesia Smart Card

- Provide free health services with an Indonesia Health Card

Obj-text

Accessibility

Image



Obj-text

- Reform public service

- through empowerment of

- regencies and sub-districts

- Reform law enforcement

- agencies

- Utilize IT for public

- transparency

- Establish a National Integrity System

-

Obj-text

Anti-corruption

SECTOR SPECIFICS

- **Oil and Gas** – Strengthening Indonesia's energy security with moves to increase national energy self-sufficiency are key policy goals. Boosting the productive output of the oil and gas industry will be a key part of realizing this ambition. The Indonesian Petroleum Association (IPA) predicts that Indonesia needs \$201 billion in annual investment in the oil and gas sector or \$201 billion over the next 10 years – to maximize existing and future production opportunities and meet future energy demands.

- **Mining** – Indonesia wants to increase the value of its mineral exports by building more domestic processing capacity. Coupled with this is a desire to ensure that regional development and skills in mining areas are enhanced. Building smelters has been a central area of recent policy focus, but to increase value-added production in the mining sector, multibillion dollar investments are needed. One smelter costs approximately \$1-1.5 billion to build. So far Indonesia only has five active smelters across the country. Attracting huge long-term investments to build these smelters will be a key policy challenge.

- **Technology** – The new government has made boosting technological and digital industries, ICT skills and Internet availability one of their central developmental goals. Unfortunately, the current ability of technological and digital industries as well as ICT skills to grow is being held back by a lack of Internet penetration. The Indonesian Broadband Corridor for example has so far resulted in five pilot projects, but there is a lack of funding to expand the project further and fully roll-out Internet broadband access across the archipelago. The National ICT Operational Board estimates that over \$35.7 billion in funding will be needed to fully implement broadband access across Indonesia.

- **Manufacturing** – Continuing to develop Indonesia's economy through supporting the growth of the domestic manufacturing sector and skills have been outlined as core development goals. In order to build Indonesia's manufacturing sector, though, more land will be needed for sites, processing plants and factories. The Ministry of Industry predicts the demand for industrial land will grow rapidly over the coming years, starting at 3.353 ha 2015-2019 and growing to 50.216,27 ha for 2015-2035.

- **Agriculture** – Achieving food security by boosting domestic agricultural productivity and increasing the value of agricultural products have been outlined as clear development goals by the new government. However, investment in the sector is badly needed to make progress in these areas. The realization of current investment in the sector is under 10%. From 2009-2013, domestic investment in agriculture achieved only 9.6% of the target, with realized foreign investment standing at only \$5.38 billion, or 1% of the realization target.

- **Banking** – The new government is committed to building an Indonesian national financial sector, dominated by Indonesian-owned institutions and with greater rules on foreign ownership. Indonesia's financial sector is growing fast. Capital inflows into domestic capital markets are estimated to be around \$3.8 billion this year, up more than 300% since last year. The Indonesian Stock Exchange also hopes to attract 1 million new investors next year; currently there are around 500,000. Continuing growth and ensuring stability whilst implementing reforms will be a key challenge in the financial sector.

Image



Title

THE NEW CABINET: AN INTRODUCTION TO INDONESIA'S NEW MINISTERS AND MINISTRIES



Title

Indonesia's New Cabinet 2014-2019



Title

GENERAL OVERVIEW

Title

Cabinet in numbers

Caption

GENDER

Image

Obj-text

Male

Obj-text

26

Image

Obj-text

Female

Obj-text

8

BACKGROUND

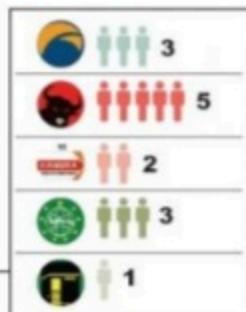
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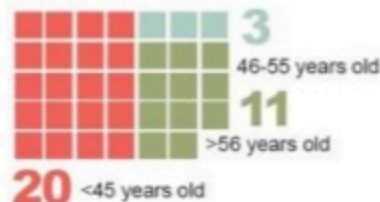
Political Parties

Obj-text

14



AGE



GEOGRAPHIC ORIGINS

Java

Obj-text

26

Obj-text

8

Non-Java

Sumatra	4
Papua	1
Sulawesi	1
NTT	1
Bali	1

JP/Lody Andrian

Page-text

- President Widodo announced 34 members for his cabinet on day six of his administration. He has named his cabinet the “Kabinet Kerja” (working cabinet), based on his famous line “Kerja, kerja, kerja” (work, work, work) of which Jokowi is known to emphasize in speeches and spot checks.

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- The cabinet’s structure now has four Coordinating Ministers (previously there were three in former President Yudhoyono’s term) and 30 Ministers.

Page-text

- The cabinet is balanced between industry and political professionals, with PDI-P having secured 5 out of 14 positions.

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- Jokowi has also appointed eight women as ministers, which sets a new record for Indonesia.

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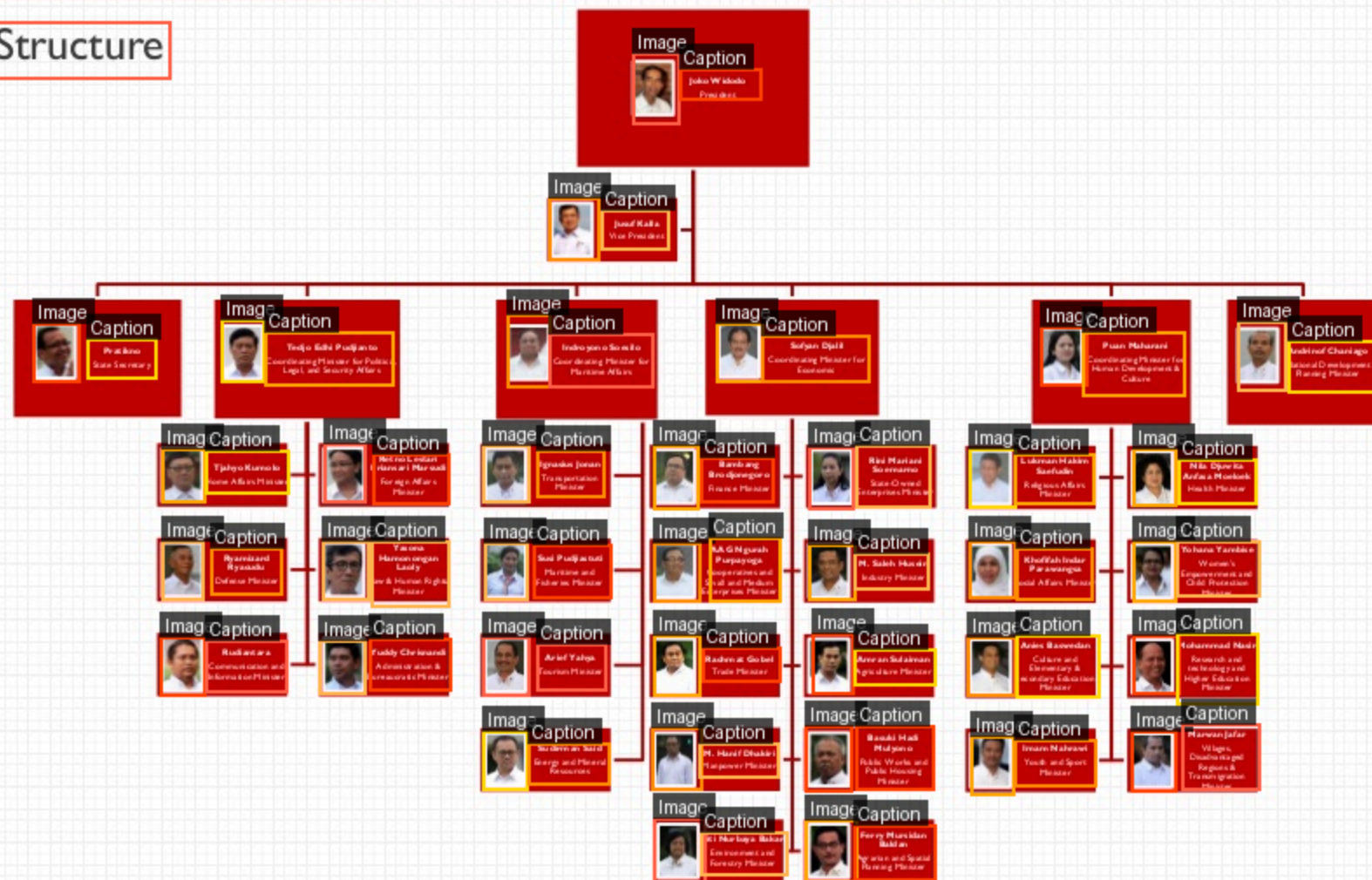
- In terms of age ranges, the cabinet is relatively young, with the mid-forties being the average ministerial age.

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- Geographically, Java still dominates Indonesia’s top table, with only eight out of thirty-four ministers coming from outside Java.

Title

Cabinet Structure



Title

STATE SECRETARY - PRATIKNO

Image



Page-text

- Prof. Pratikno is the former Rector of Universitas Gadjah Mada (UGM). He was lecturer at Faculty of Social and Political Sciences. He has been teaching Governmental Studies since 1986. During his tenure at UGM, he also served as the Director of Department of Political Science, concentration of Regional Politics and Decentralization, for Masters and Doctoral Degree.

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- He graduated with his Master's from the Development of Administration University of Birmingham, UK. He continued in pursuing his Doctoral study at the University of South Australia, Department of Asia studies. Pratikno first came under the public spotlight following his appearance as moderator for the 2014 Presidential Debates.

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- Pratikno has no affiliation with any political party. He is known as a very humble person and has attachments to various community groups.

MINISTER OF NATIONAL DEVELOPMENT PLANNING - ANDRINOF CHANIAGO

Image



Page-text

- Andrinof Chaniago is a lecturer at the Political Science Department, University of Indonesia. A respected researcher for Public Policy studies, he's known to view President Joko Widodo in a positive light, as evidenced by his social media posts that offered support during the presidential campaign.

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- He is known as a critical and "out-of-the-box" academician among his colleagues, be they from universities, think tanks, e.g., Indonesia for Development of Economic and Finance (INDEF), and also government bodies. He has actively criticized the government in the past through his book entitled, "The Failure of Indonesian Development: Political-Economic Discourse."

Page-text

- He graduated from the University of Indonesia, Faculty of Economy, and attended several seminars and training regarding Public Policy, Economic Development and Planning, and Economic Globalization, particularly related to planning and budgeting.

Page-text

- No longer under the oversight of the coordinating economics minister; with this new role, Chaniago will report directly to the President.

Title

THE MINISTER OF COORDINATING MARITIME AFFAIRS OVERSEES:

Page-text

Ministry of
Transportation

Page-text

Ministry of
Energy and
Mineral
Resources

Page-text

Ministry of
Tourism

Page-text

Ministry of
Marine Affairs and
Fisheries